

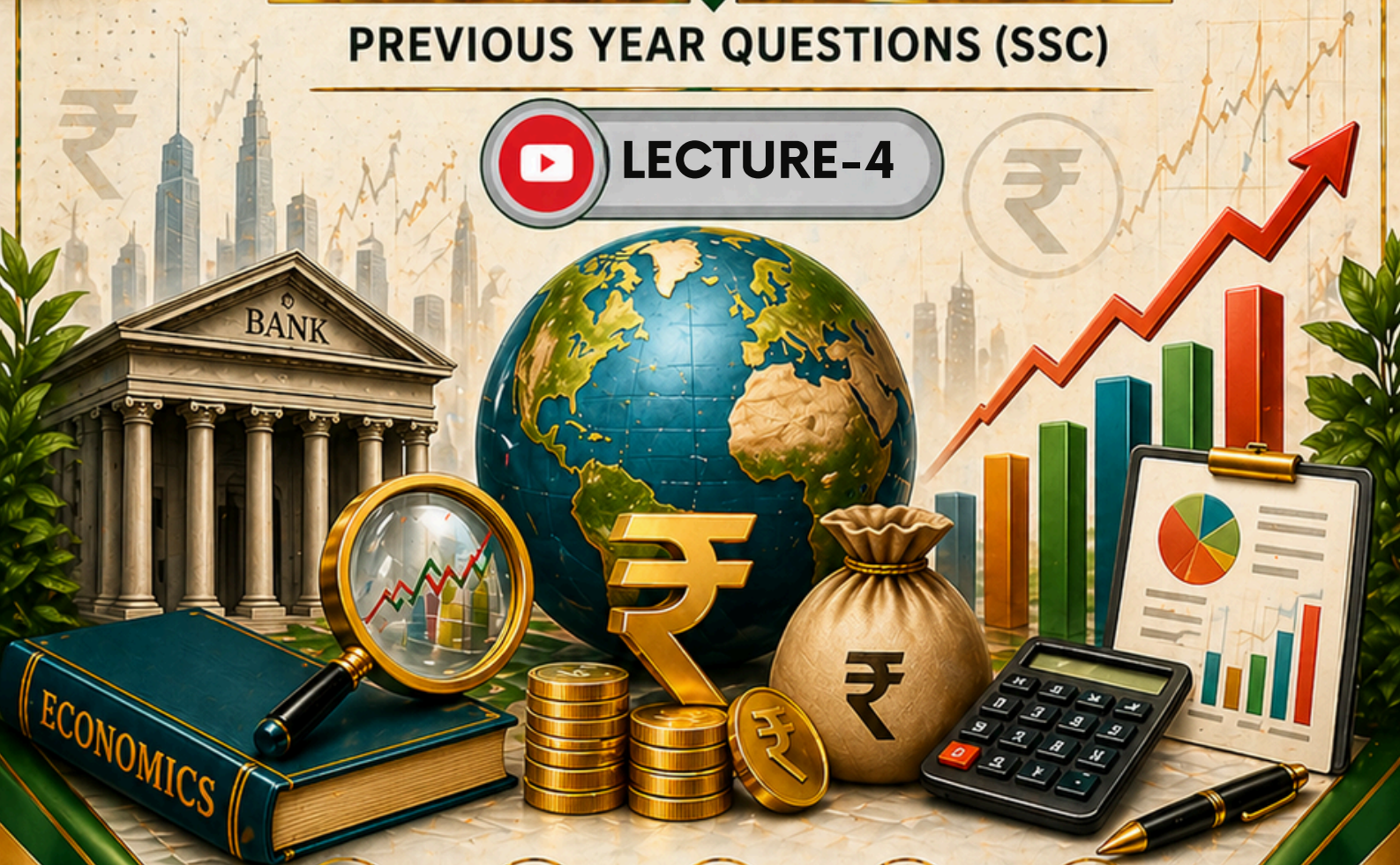


== **GK PYQ SERIES** ==

◆ [PART-6] ◆

ECONOMICS

PREVIOUS YEAR QUESTIONS (SSC)



PYQ BASED
ANALYSIS



CONCEPTUAL
CLARITY



SMART
REVISION



EXAM
FOCUSED



TREND
ANALYSIS

★ **CONCEPT + PYQ BASED LEARNING** ★

1 Which of the following is a stock variable?

- (a) Depreciation
- (b) Change in Inventory
- (c) Income
- (d) Inventory ✓

EXPLANATION



- **Stock** It is a quantity measured at a point in time **Ex:** Wealth, loan, inventory, capital, money supply
- **Flow** It is a quantity measured over a period of time **Ex:** Income, expenditure, change in inventory, depreciation

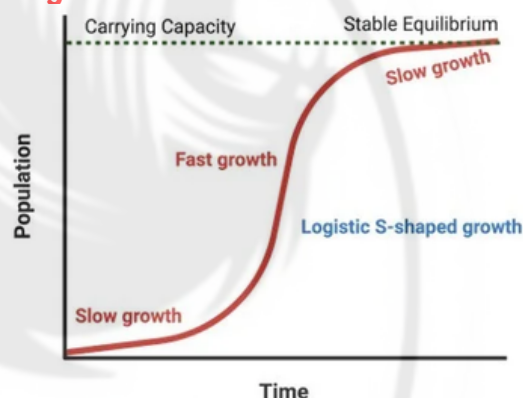
- **Inventory** is what you have; **inventory change** is how that amount shifts over time.

2 What is the term for the maximum population that an environment can sustain indefinitely?

- a) Carrying capacity ✓
- b) Population density
- c) Fertility rate
- d) Dependency ratio

EXPLANATION

- **Population density** is the measure of how many individuals live in a given area, usually expressed as people **per square kilometer or square mile**.



3 Name the principle that states that as production increases, the cost per unit decreases?

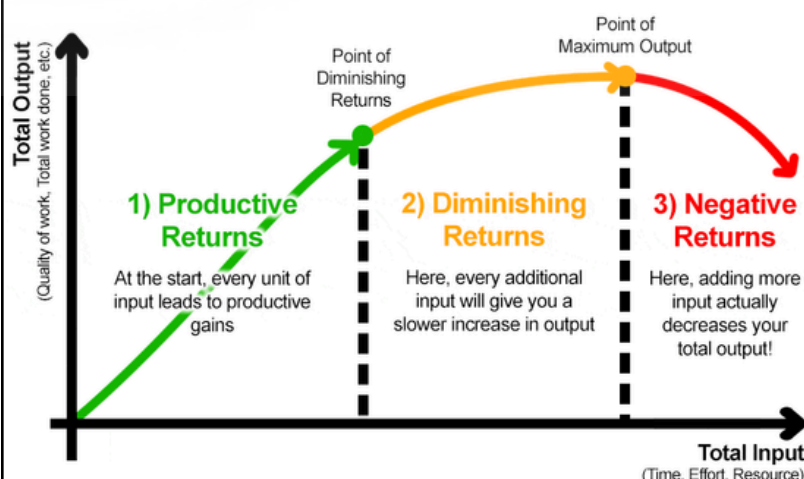
- a) Law of diminishing returns
- b) Economies of scale ✓
- c) Opportunity cost
- d) Marginal utility

EXPLANATION

- **Marginal utility:** The additional satisfaction (or benefit) you get from consuming one more unit of a good or service.
- **Law of diminishing marginal utility:** As you consume more units of a good, the extra satisfaction you gain from each additional unit tends to decrease.
- **The opportunity cost** explains the value of the next best alternative you give up when you make a choice.
 - **Free goods** such as air and sunlight have **zero opportunity cost**

- The **law of diminishing returns** says that beyond a certain point, adding more of one resource to a fixed setup gives smaller and smaller benefits, and can even reduce total output.

The Law of Diminishing Returns



4 Name the situation when the central bank reduces interest rates to stimulate economic growth?

a) Expansionary monetary policy ✓

b) Contractionary monetary policy

c) Fiscal stimulus

d) Quantitative easing

EXPLANATION

Situation	RBI Action	Effects	Policy
During inflation	Increase in CRR, SLR, BR, RRR, RR	Decrease in money supply	Contractionary/ Tight/Dear/Hawkish Monetary Policy
During deflation	Decrease in CRR, SLR, BR, RRR, RR	Increase in money supply	Expansionary/Easy/ Dovish Monetary Policy

Fiscal Policy

- In **Inflation** → Government tightens fiscal policy (spend less, tax more).
- In **Deflation** → Government loosens fiscal policy (spend more, tax less).



Qualitative Monetary Policy Tools



- These are selective tools used by RBI to control the use and direction of credit in specific sectors of the economy. The central bank limits the amount of loans and advances that commercial banks can give.

1. Changing Margin Requirements

- The RBI increases the margin (the amount borrowers must pay upfront) for non-essential sectors to limit excessive borrowing and reducing it for important sectors like agriculture to encourage lending

2. Consumer Credit Regulation

- RBI sets rules on loan installments, down payments, and repayment periods in advance. This helps manage inflation by controlling how much people can borrow.

3. Moral Suasion

- It is a technique used by RBI to influence economic activity through persuasion and implicit threats. RBI advises or persuades banks to follow its monetary policy.

4. Credit rationing

- Credit rationing is when RBI limits the total amount of loans and credit banks can issue to certain sectors. It fixes the credit supply for each bank, preventing excessive lending. It also sets credit limits for different sectors to ensure balanced lending.

- Collateral** refers to assets pledged by a borrower to secure a loan. If the borrower fails to repay, the bank has the legal right to seize and sell the collateral to recover its money. It reduces risk for lenders and allows borrowers to access larger loans, often at better terms.



5

Which of the following is an example of a macroeconomic indicator?

- a) Price of a specific product
- b) National unemployment rate ✓
- c) Demand for a particular brand
- d) Cost of production for a company

EXPLANATION

- **Alfred Marshall** is widely regarded as the “**Father of Microeconomics**,” while **John Maynard Keynes** is considered the “**Father of Macroeconomics**”.

6

What is the key focus of NRLM (National Rural Livelihood Mission)?

- a) Formation of Self-Help Groups (SHGs) ✓
- b) Providing free food grains
- c) Building rural roads
- d) Promoting urban employment

EXPLANATION

- The **National Rural Livelihood Mission (NRLM)** was launched by the Government of India in June **2011** as a major poverty alleviation program.

Self Help Groups (SHG)

- It is a group of **10-20 people** Below Poverty Line (BPL) who come together to find ways to improve their living conditions in rural areas.
- SHGs provide **collateral-free loans** to members at lower interest rates than the informal sector.
- SHGs also help women and other marginalized groups become more self-reliant.



Joint Liability Groups (JLG)

- It comprises a group of **4-10 people** who come together to apply for a bank loan.
- By forming a JLG, individuals can avail of **collateral-free loans** and expand their businesses without worrying about security or margin.
- This loan is offered to individuals, tenant farmers, sharecroppers, and small and marginal farmers.

MICROFINANCE INSTITUTIONS (MFIs)



- MFIs provide micro-credit and other financial services like loan, savings, insurance, and remittances to low income population.
- MFIs provide a **collateral-free microfinance loan** to households having income **upto 3 lakh/annum**.
- Father of Microfinance system: **Muhammad Yunus** (in 2006, he won Nobel Peace Prize for creating Bangladesh Grameen Bank).
- First Micro Finance institution in India: Self Employed Women Association (SEWA) Bank, which was established in Ahmedabad in 1974.

Non-Banking Financial Companies (NBFCs)

- **Registration:** NBFCs are registered under the Companies Act (CA), 1956.
- **Functions:**
 - They are allowed to provide loans.
 - They cannot issue Demand Drafts (DD).
 - They cannot issue cheques drawn on themselves.



3

- **Microfinance Institutions (NBFC-MFI)**

- **Malegam Committee:** The Malegam Committee was formed in 2010 to study the microfinance sector.
- **Asset Requirement:** For an NBFC to be classified as an NBFC-MFI, at least 60% of its total assets must be deployed as micro-loans.

7

Which state in India has the highest sex ratio according to the 2011 Census?

- a) Tamil Nadu
b) Himachal Pradesh
c) Rajasthan
d) Kerala ✓

EXPLANATION

- **Sex ratio** is the demographic measure of the number of males compared to females in a population, usually expressed as the number of females per 1,000 males.

India Census: Sex Ratio Data (Females per 1000 Males)

Category	Value / Location (Count)
Sex ratio in India	943 (933 in 2001)
Highest sex ratio in state	Kerala (1084)
Lowest sex ratio in state	Haryana (879)
Highest sex ratio in UT	Pondicherry (1037)
Lowest sex ratio in UT	Daman and Diu (618)
Child (0-6 years) sex ratio	919 (927 in 2001)
Highest child (0-6) sex ratio in state	Arunachal (972)
Lowest child (0-6) sex ratio in state	Haryana (834)

8

➤ Which state in India has the highest literacy rate according to the provided data in the Census 2011?

- a) Mizoram  b) Rajasthan
c) Arunachal Pradesh d) Bihar

EXPLANATION

- **Literacy rate** is the percentage of people in a population who can read and write with understanding, usually measured among those aged **7 years and above** in India.

Literacy Rate in India

Category	Percentage / Location (Rate)
Total Person Literacy Rate	74%
Males	82.14%

4

Females	65.46%
Highest Literacy Rate in State	Kerala (94%)
Lowest Literacy Rate in State	Bihar (61.8%)
Highest Literacy Rate in UT	Lakshadweep (91%)
Lowest Literacy Rate in UT	Dadra and Nagar Haveli (76.24%)
Highest Literacy Rate in district	Serchhip (Mizoram)
Lowest Literacy Rate in district	Alirajpur (Madhya pradesh)



9 Which of the following statements is/are correct?

Statement I: Intermediate goods are goods used as inputs in the production of other goods

Statement II: Capital goods are durable goods used in production that do not get transformed into the final product

- a) Both statements I and II are correct ✓
- b) Both statements I and II are incorrect
- c) Statement I is correct, Statement II is incorrect
- d) Statement I is incorrect, Statement II is correct



EXPLANATION

Feature	Final Goods	Intermediate Goods
Economic Process	These goods will now not undergo any economic process.	These are semi-finished products that will undergo various economic processes and transformations to be converted to final products.
Usage	Goods used by the consumer for personal consumption or investment.	Goods used as inputs for producing other goods and services and will get customized in the process.
Nature of Demand	Direct consumption or capital investment.	Further processing or resale.
Example	When you buy tea from a shop for personal consumption, it is a final good.	When a tea shop or hotel buys tea to prepare and sell tea to customers, it becomes an intermediate good.

• Types of Final Goods: -

- a. **Consumer goods:** Finished products used by individuals for personal consumption rather than for producing other goods.
- b. **Capital goods:** These are physical goods used by businesses to produce other goods and services, but they are not consumed in the process. **E.g.** Machine to produce T-shirts.



10 Which of the following best illustrates a liquidity trap?

- The central bank raises interest rates to control inflation.
- Commercial banks stop lending due to high default risks.
- Interest rates are near zero, but people prefer holding cash instead of investing. ✓
- The government increases taxes to reduce fiscal deficit.

EXPLANATION

Liquidity Order



Demand Deposit is more liquid than Term Deposit

Liquidity

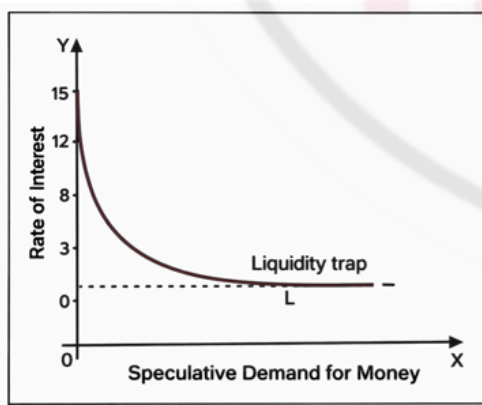


Liquidity means how easily an asset can be converted into cash without losing its value. Money has the highest liquidity because it can be used immediately for transactions.

- People hold money for three main purposes: -
 - Transaction Motive** - day-to-day spending on goods and services.
 - Precautionary Motive** - People keep money aside for unexpected expenses or emergencies.
 - Speculative Motive** - People hold money to take advantage of future investment opportunities or avoid losses.
 - When interest rate is low then speculative motive in people is high, and vice-versa.

Liquidity Trap

A liquidity trap is an economic situation where interest rates are low and people prefer to hold cash instead of spending or investing, which can lead any Monetary Policy ineffective.



The horizontal portion of the liquidity preference curve is referred to as the **liquidity trap**. In this portion of the curve, the demand for money is infinitely elastic and the liquidity preference curve becomes perfectly elastic.

Paradox of Thrift

- Meaning:** If everyone in an economy tries to save more at the same time, overall demand falls.
- Effect:** Lower demand reduces production, income, and employment, so paradoxically, people may end up saving less in total because their incomes shrink.
- Keynes' Point:** Saving is good individually, but excessive collective saving during a downturn can harm the economy.

11

Which of the following best explains the Law of Diminishing Marginal Utility?

- a) Utility increases at an increasing rate
- b) Total utility decreases with more consumption
- c) Marginal utility declines with each additional unit consumed ✓
- d) Marginal utility increases with Total Utility

12

In the context of international trade, what is the definition of a 'Quota'?

- a) A tax on imports
- b) A tax on exports
- c) A physical limit on the quantity of a good that can be imported ✓
- d) A quality standard for goods



EXPLANATION

• Tariff:

- It is a **tax imposed by one country** on goods and services imported from another country.
- **Objective:** Its main objective is to influence trade, increase government revenue, or protect the competitive advantages of domestic industries.

• Quota:

- It is a **trade restriction imposed by the government**, which limits the number or value of goods imported or exported by a nation.

• Anti-dumping duty:

- It is a **protectionist tariff or duty**, which the government imposes on imported goods whose price is considered to be unfairly low.
- **Objective:** Its objective is to protect domestic industries from foreign companies capturing the market by selling unfairly cheap products (dumping).

13

The 'Eighth Five-Year Plan' (1992-97) was the first plan to be launched after what event?

- a) The Green Revolution
- b) The Bank Nationalization
- c) The 1991 Economic Reforms ✓
- d) The formation of NITI Aayog

EXPLANATION

- The **Green Revolution** came in the **Third Five Year Plan**.
- **Nationalization of banks** happened in 1969 (14 banks) and 1980 (6 banks).
- **Economic reforms (LPG)** happened in 1991. Annual plans ran between 1990-92.



Eighth Five Year Plan

- **Duration:** 1992-1997
- **Then Prime Minister:** P. V. Narasimha Rao
- **Growth Rate:**
 - **Target** Rate: 5.6%
 - **Achieved** Rate: 6.8% (This plan was highly successful)
- **Main points and focus:**
 - New indicative policy
 - Human development
 - The country witnessed comprehensive economic and fiscal reforms. (End of License Raj)

7

- 14 The 'Narasimham Committee' (1991 and 1998) was set up to recommend reforms in which sector?
- a) Agriculture
b) Banking and Financial Sector ✓
c) Education
d) Railways

EXPLANATION

Narasimham Committee (1991 and 1998)

- It was constituted for reforms in the 'banking and financial sector'.
- Recommendations:** Changes in the structure, organization, and procedures of banks.
- The main goal was to reduce NPAs (bad loans). Basel norms include CRR, SLR, and capital adequacy.

Classification of loans given by banks on the basis of their recovery.

1. Initial Status of Asset:

- Regular:** When the loan installment (EMI) and interest are being paid exactly on time.
- Stressed:** When there starts to be a delay in paying the installment, but this delay is **less than 90 days (<90 days)**.
- NPA (Non-Performing Asset):** When there is a delay of **more than 90 days (>90 days)** in paying the installment, then that account becomes an NPA.

2. Types of NPA:

- Sub-standard:** When an account remains continuously in the NPA status from **after 90 days up to 1 year**.
- Doubtful:** When the account remains an NPA from **1 year to 3 years** (in this, the bank has very little hope of recovery).
- Loss/Bad:** When the bank or auditor assumes that the loan money has completely sunk and its recovery is no longer possible.
- Bad Bank:** It buys the bad loans (NPA) of banks (through NARCL) and then recovers money by selling those assets (through IDRCL).
- SARFAESI Act (2002):** This law gives banks the right to seize and auction the mortgaged property of willful defaulters without going to court.
- Insolvency and Bankruptcy Code (IBC) (2016):** This is for bankrupt companies. Under this, a resolution is reached within the 180-day criterion for the Corporate Insolvency Resolution Process (CIRP) is the statutory initial timeframe through NCLT/NCLAT courts.

- 15 What is a market with only one seller for a particular good or service called?
- a) Monopoly ✓
b) Duopoly
c) Perfect Competition
d) Oligopoly

EXPLANATION

Types of Market

- Monopoly:** One seller, no close substitute (e.g., Railways).
- Oligopoly:** A few large companies, entry into the market is difficult (e.g., Telecom, Laptops).



- **Monopolistic:** Many sellers/buyers, products are similar but differentiated (e.g., Toothpaste).
- **Perfect Competition:** Many sellers/buyers, products are exactly identical (e.g., Agricultural products).

16 'Regional Rural Banks' (RRBs) were established in 1975 to strictly provide credit to whom?

- a) Large Corporate Houses
- b) Rural people (Small farmers, artisans, laborers) ✓
- c) Urban businessmen
- d) Stock market investors

EXPLANATION

Regional Rural Banks



- They were established in **1975** primarily to provide loans to rural people (small farmers, artisans).
- **Shareholding:** **Central Government (50%), Sponsor Bank (35%), and State Government (15%).** They are supervised by NABARD and regulated by the Reserve Bank of India (RBI).
- The first RRB was '**Prathama Bank**', which was formed on October 2, 1975 under the sponsorship of Syndicate Bank.

17 Who is responsible for issuing all currency notes (except the One Rupee note) in India?

- a) The Prime Minister's Office
- b) Reserve Bank of India (RBI) ✓
- c) Ministry of Finance
- d) State Bank of India (SBI)

EXPLANATION

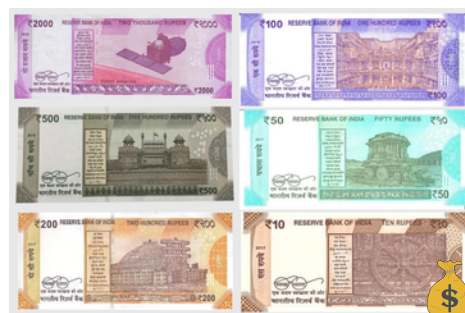
- **Note Press:** Nashik, Dewas, Mysore, Salboni.
- **Mints:** Mumbai, Hyderabad, Kolkata, Noida.



Currency Printing: The RBI prints and manages currency in India, including banknotes (except for ₹1 note and coins issued under Ministry of Finance, GOI).

IMAGES ON NOTES

- **₹10:** Chariot wheel of Konark Sun Temple (24 spokes, 7 horses) (Odisha)
- **₹20:** Ellora Caves (Maharashtra)
 - The most famous in the Ellora caves is the 'Kailasha Temple', which was built by the Rashtrakuta dynasty ruler Krishna I by carving a single huge rock.
- **₹50:** Stone Chariot of Hampi (Karnataka)
- **₹100:** Rani ki Vav (Gujarat)
- **₹200:** Sanchi Stupa (Madhya Pradesh)
- **₹500:** Red Fort (New Delhi)
- **₹2000:** Mangalyaan (India's first Mars mission)



18

What is 'Per Capita Income'?

- a) The total income of a country
- b) The average income of a person in a country ✓
- c) The total savings of a country
- d) The total tax collected by a country

EXPLANATION

• Per Capita Income

- It is the average amount of money earned by each person in a specific area over a specified period of time.
- $\text{Per Capita Income} = \frac{\text{National Income}}{\text{Population}}$

• Personal Disposable Income

- It is the amount of money left with a person after the payment of taxes and other mandatory deductions.

• Important formulas:

- $\text{Disposable Income} = \text{Personal Income} - \text{Taxes}$
- $\text{Green GDP} = \text{GDP} - \text{Environmental Damage}$
- $\text{Potential GDP} - \text{Actual GDP} = \text{Recessionary Gap}$



• Purchasing Power Parity

- Purchasing power is the quantity of goods and services that can be purchased with a specific amount of money. It can also be referred to as a "**common basket of goods**".
- As of 2024, **India's GDP ranked 6th** in the world, and In terms of **Purchasing Power Parity (PPP)**, **India's economy ranks 3rd** in the world after the US and China.

19

Unemployment that occurs due to the regular seasonal changes in a year is called?

- a) Frictional Unemployment
- b) Structural Unemployment
- c) Seasonal Unemployment ✓
- d) Cyclical Unemployment

EXPLANATION

Type of Unemployment	Main Cause	Example (in one line)
Structural	Difference between 'skills' and job demand.	Workers losing work due to the introduction of machines.
Educated	Has a degree, but no job or practical skills.	Engineering graduate unable to find a job.
Frictional	Leaving one job to find another better job. (Voluntary and short-term)	Employee searching for a new job after leaving the old one.
Disguised	More people at work than needed. (Zero productivity)	5 people working on a farm meant for 3 people.

10

Economic/Cyclical	Due to recession or business cycle.	Layoffs due to economic recession.
Seasonal	Getting work only in certain specific months of the year.	People selling firecrackers only on Diwali.



- **Great Depression (1929-1939):** It was the most severe and longest global economic depression in history. In this, unemployment and poverty were at their peak, banks and businesses failed on a large scale, and there was a massive decline in production and trade.
- **Economic Recession (2007-2009):** It was a significant recession in recent history (from the end of 2007 to mid-2009). In this, there was a massive decline in markets worldwide, but its impact was not as long or devastating as the Great Depression of 1929.

20 A country's government reported the following figures in its annual budget:

Total Revenue Receipts = Rs. 50 lakh crore

Total Expenditure = Rs. 75 lakh crore

Borrowings = Rs. 20 lakh crore

What is the Fiscal Deficit of the government?

a) Rs. 5 lakh crore

b) Rs. 15 lakh crore

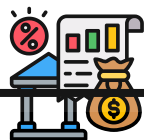
c) Rs. 25 lakh crore

d) Rs. 20 lakh crore ✓

EXPLANATION

- If we assume that the Non-debt capital receipts is 0 then fiscal deficit = $75 - 50 = 25$ lakh.

- **Revenue Deficit** = Revenue Expenditure - Revenue Receipts
- **Effective Revenue Deficit** = Revenue Deficit (RD) - Grants for the creation of capital assets
- **Fiscal Deficit** = (Total Expenditure - Total Receipts) Exclude Borrowings
- **Primary Deficit** = Fiscal Deficit (FD) - Interest Payments



Thank you



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